

NextEra Energy, Inc.

NEE NYSE

Buy	\$85.77 ▼ 0.53%	12M Price Target \$98.00	52-Week Range \$67.20 – \$98.75	Market Cap \$178.88B
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NEE: \$150M Florida Settlement Resolves Overhang; Reiterate Buy

WHAT'S CHANGED

- NEE agreed to pay \$150M to settle Florida political misconduct allegations (Utility Dive, 10:12 ET) — removes a multi-year regulatory/headline overhang at ~0.08% of market cap; immaterial financially but a sentiment clearing event.
- Stock fading -0.53% to \$85.77 despite the resolution, underperforming a soft Utilities tape (-1.50%); shares had rallied 4 consecutive sessions (\$84.84 → \$86.23) into the news, suggesting a "sell the news" reaction rather than fundamental deterioration.

IMPLICATIONS

The Florida settlement closes a reputational/ESG overhang that has periodically weighed on institutional demand for NEE, clearing the path for ESG-mandated funds to re-engage; at 87% institutional ownership with BlackRock/Vanguard/State Street as anchor holders, governance closure matters more than the dollar amount. Concurrently, Utilities (-1.50% 1D, +0.87% 5D) are lagging broader risk-on flow into Industrials/Tech, but NEE's dual identity as both regulated utility (FPL) and the largest US renewables/storage developer positions it as the prime beneficiary of accelerating AI data center power demand — a structural narrative reinforced by today's Investing.com piece on "major structural shift" stocks. Bullish options flow (P/C 0.76, unusual \$57.50 deep-ITM calls indicating institutional accumulation via leverage) corroborates positioning ahead of FY26 guidance refresh.

VALUATION

PT of \$98 reflects ~24x FY27E EPS of \$4.05 and ~14x EV/EBITDA, a modest premium to regulated peers (SO, DUK ~19-20x) justified by NEE's ~8-10% EPS CAGR vs. peer 5-6%. Upside to PT is ~14% from \$85.77 plus ~3% dividend yield. Multiple expansion driver: data center PPA announcements and a constructive 2026 FPL rate case outcome; contraction risk if Treasury yields back up above 4.75% or if renewables ITC monetization is curtailed.

KEY RISKS

- Interest rate sensitivity: as a capital-intensive utility with \$80B+ debt load, every 50bps move in 10Y yields meaningfully impacts cost of capital and DCF valuation.
- Policy risk: any rollback of IRA renewables tax credits under federal policy review would impair Energy Resources segment development economics.
- FPL regulatory risk: 2026 rate case outcome and Florida hurricane cost recovery remain key earnings drivers; adverse PSC ruling caps ROE.

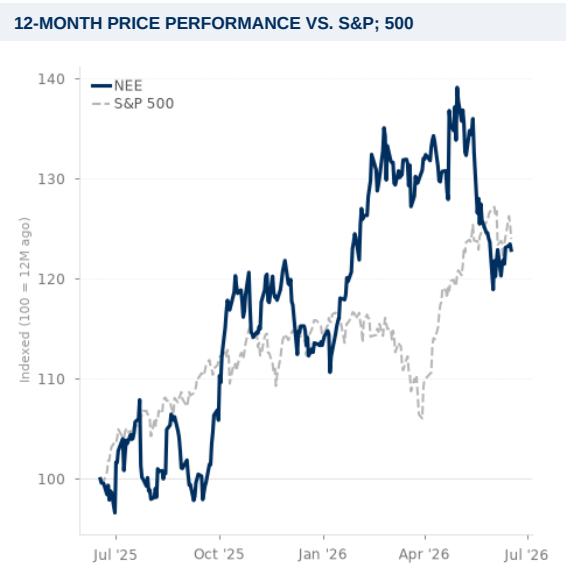
RECENT NEWS

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-17 20:00 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data	
Price (USD)	\$85.77
12M Price Target	\$98.00
Upside / (Downside)	+14.3%
Market Cap	\$178.88B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$30,800M
FY2026E EPS	\$3.72
FY2027E EPS	\$4.05
Fwd P/E	23.1x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$90.00	\$86.00	\$80.00
6 Months	\$98.00	\$90.00	\$78.00
1 Year	\$110.00	\$98.00	\$75.00
2 Years	\$130.00	\$110.00	\$72.00
5 Years	\$175.00	\$140.00	\$85.00
10 Years	\$260.00	\$195.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: Industrials (+5.87% 5D), Technology (+5.00% 5D)

COLD SECTORS: Energy (-6.21% 5D), Utilities (-1.50% 1D)

ROTATION WATCH: Capital is rotating from defensives (Utilities, Staples) into cyclical Industrials/Tech on AI capex enthusiasm; however, the AI power-demand narrative is a bridge that pulls select utilities (NEE, VST, CEG) along with Tech tape rather than with traditional utility flows.

BYPRODUCT PLAY: Today's Oklo-Standard Nuclear fuel supply alliance highlights the nuclear renaissance — NEE's Duane Arnold restart optionality and SMR partnerships are underappreciated free options; secondary beneficiaries include grid equipment names (GEV, ETN) tied to NEE's \$100B+ multi-year capex plan.

OUTPERFORMERS & PEER CONTEXT

Sector peer analysis unavailable.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: FPL ROE compression, IRA/ITC renewables credit repeal, or backlog growth <8% YoY

Hedging: Pair long NEE vs. short XLU or long puts at \$80 strike